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The Truth About Tariffs: Who Really Pays?

“I’m going to buy a new car made in the USA!” my father had patriotically announced, only to return with a Japanese SUV in the end.

“Dad! You promised to buy American!”

“I tried,” he replied, “but foreign cars just made more sense.”

The truth is, American patriotism isn’t affordable enough. Working and middle-class Americans like my family constantly have to choose between their own American Dream and supporting domestic US businesses. Tariffs— taxes on imported goods— are intended to help domestic products compete against cheaper foreign products. With a higher price placed on foreign goods, it seems like consumers would be more inclined to buy the cheaper, domestically-produced alternative. Although tariffs have been successful in the past, they did not achieve success alone. In reality, tariffs are a short-term solution, but not sustainable for the American economy in the long run.

The best way to evaluate tariffs is to review historical policies such as the Smoot-Hawley Tariff. After WWI had damaged much of Europe’s agricultural sector, American farmers saw a surplus of food exports to Europe. However, by the 1920s, prices of American farm products began rapidly declining due to recovering European farmers who brought increased competition. In the 1928 presidential campaign, Herbert Hoover promised to raise tariffs on agricultural imports in an attempt to save the American agricultural industry. Despite over 1,000 economists

warning against it, the Smoot-Hawley Act was signed into law on June 17, 1930 (“History of Tariffs”). This bill increased tariffs on more than 20,000 imported goods by 40% to 60% (“Smoot-Hawley Tariff Act - Overview”). Like many other tariff policies, its purpose was to protect American businesses and farmers from foreign competition. Yet, the negative consequences far outweighed the benefits that it brought to both domestic and foreign consumers and businesses.

Domestically speaking, the American stock market was hit hard when foreigners began desperately withdrawing their money because of a sudden loss of confidence in Wall Street following the Stock Market Crash of 1929. For ordinary Americans, tariffs only raised the prices of basic necessities like food and clothing. Both of these factors amplified the effects of the Great Depression.

Furthermore, repercussions from the Smoot-Hawley Tariff rippled across the globe. With countries raising tariffs in response to each other, international trade decreased by a total 65%. From 1929 to 1932, American exports dropped from \$7 billion to \$2.5 billion. Farmers were hit especially hard, with farm exports decreasing by one third from 1929 to 1933 (“Smoot-Hawley Tariff Act - Overview”). This brought additional economic instability to countries that were just recovering from the Great War. Thus, the Smoot-Hawley Tariff may be partly responsible for the rise of radical political ideas in economically unstable nations.

These historical lessons can be applied to the US-China trade conflicts of the 21st century. As China’s economy spiked and production costs remained lower, the US lost manufacturing jobs and fell into a deep trade deficit. American presidents have tried tariffs as a solution, but they ultimately failed their protectionist goals. In 2002, Bush’s Chinese steel tariff was faced with many retaliatory tariffs as well as a lawsuit with the WTO. In 2009, Obama’s

China tire tariff saved 1,200 jobs in the domestic tire production industry but lost 3,731 retail jobs. In 2018, Trump's China tariff added a few steel and aluminum jobs, but lost 75,000 jobs in consumer firms of steel and aluminum (Hebert). In all, the 2018 US-China trade war cost the American economy 300,000 jobs, nearly 0.3% of real GDP, and firms lost at least \$1.7 trillion in stocks ("Trump's Trade War Has Killed 300,000 Jobs"). Factories didn't even move back to the United States— they simply moved from China to other countries in Southeast Asia. In the end, American consumers paid the higher cost for no return.

Many examples have demonstrated that tariffs don't do a very good job of improving the American economy—at least, not by themselves. Historically, tariffs like the Reconstruction Era tariffs did indeed contribute to growth in the American economy by developing the American steel industry to match those of European powers. But, although tariffs can buy time for domestic industries to gain a footing on international competition, they are not sustainable. Today, the United States still relies heavily on tariffs. Does this mean that we are falling behind?

Some short-term alternatives to tariffs include minimizing the \$297,000 to \$400,000 that American firms each spend annually to meet regulations set by the government (Hebert) or lowering taxes on businesses so they won't raise their product prices so high. That being said, both of these alternatives have side effects in the long run.

To this, there is one more, long-term solution: investing in American education to develop the necessary manufacturing skills in our workforce. 21st century America needs to protect its manufacturing capabilities. Many studies have proven that American public education has fallen behind other nations. Furthermore, many students are enrolled in four-year universities when it isn't necessarily the best suit for them, nor for the workforce as a whole. Only 64.7 percent of students who started college in 2016 have graduated by now, which is already the

greatest percentage cohort as of 2025 (“Yearly Progress and Completion”). By offering incentives to encourage job training instead of pushing every student toward a bachelor’s degree, the US could diversify its workforce and bring new skill sets to the table. While tariffs may buy time for domestic industries, long-term success depends on the hard work and productivity of the American people.

Ultimately, while tariffs may provide short-term relief, they are not sustainable in the long run. Americans face higher prices and limited job growth when tariffs are applied by themselves. However, if tariffs are combined with improving public education and the workforce, Americans won’t have to choose between patriotism and their economic goals when buying a car—they will simply choose American.

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